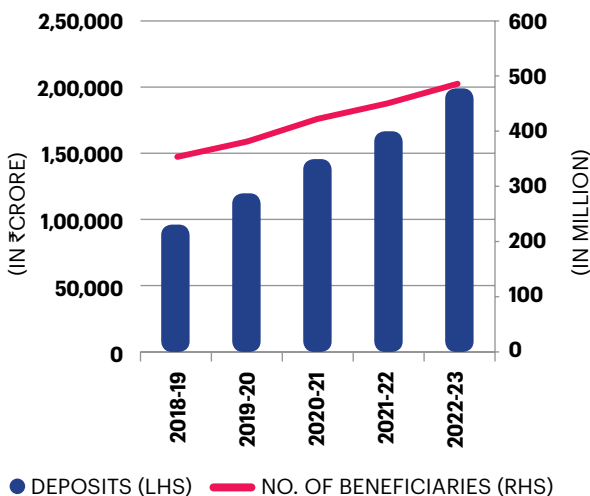


BEYOND THE BANK ACCOUNT

- ▶ Deposit base of Jan Dhan accounts is around 1 per cent of total deposits
- ▶ Semi-urban and rural areas still have a cash economy

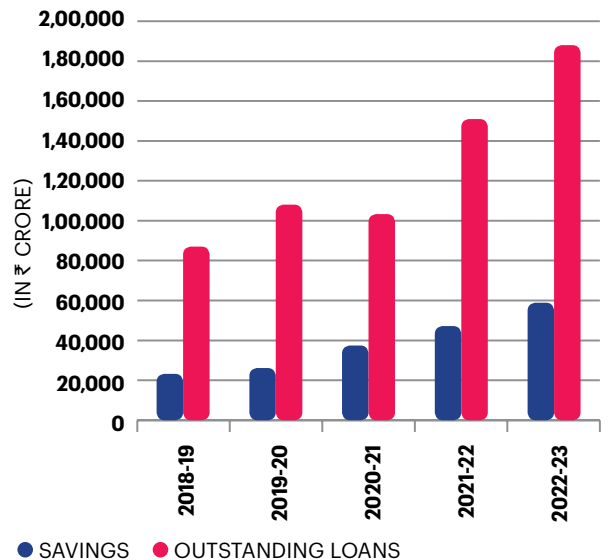


NOTE DATA TILL THE LAST WEDNESDAY OF MARCH FOR THE RESPECTIVE YEAR

SOURCE DEPARTMENT OF FINANCIAL SERVICES, MINISTRY OF FINANCE

THE SHG MODEL

- ▶ Experts say SHGs should graduate to micro-enterprises
- ▶ Their credit should be five to six times the savings. It is 3x at present



THE FINANCIAL SITUATION OF SELF-HELP GROUPS IN THE COUNTRY

SOURCE NABARD ANNUAL REPORTS



“In the third or fourth cycle of loan repayment, self-help groups as a whole should either evolve into micro-enterprises or some members should establish their own micro-enterprises”

SHAJI K.V.
CHAIRMAN, NABARD

are opened, as these new customers have to be provided with services. Enter the last-mile foot soldiers, the BCs, which include small business owners, agents, retired professionals, and diverse entities such as NGOs, NBF-Cs, co-operative societies, and MFIs.

Nearly 10 years since that record-breaking feat, the enthusiasm has clearly dissipated (*See chart ‘Beyond the Bank Account’*). This is partly because the viability of the BC foot soldiers is itself in doubt today. In the last 10 years, banks have not revised the pricing for BCs. For instance, many of these far-flung villages have about 500 residents, and not all of them transact every month. Assuming 200 transactions in a month, with an average transaction income of ₹10, the total income for a BC would be ₹2,000. “How can you even cover the operating expenses, let alone take care of your family? This is an area that the government should focus on,” says a banking correspondent, speaking on the condi-